

You see that kind of behavior near the bottom of rounded turns where price reaches bottom and makes a determined push higher only to collapse and bottom just above where it started. In other words, that's the move from A to C.

Maybe the way to notice a potential butterfly failure is to look at the context of where the pattern appears. The rounded turn is a bullish chart pattern. Of course, there's no guarantee that the stock would complete the turn and continue upward. A rounded turn might form a second peak, opposite H, and create a double top when price tumbles. That's what I would have expected, and with a bearish butterfly in the way, I'd assume price would reverse at D.

If the bearish butterfly appeared a bit higher in the rounded turn, then that would have been a distinct warning of an impending decline. As the chart shows, that didn't happen. A check of the fundamentals (news, like earnings announcements) might shed some light on why the stock continued its march upward from the low at C.

So there you have it. This bearish butterfly fails to see price make a sustained turn lower at D, disappointing traders who may have shorted the stock near the D peak.

Statistics

[Table 16.2](#) shows general statistics for the bearish butterfly.

Number found. I found 1,230 bearish butterflies in my home office. That came from 662 stocks with patterns found between August 1991 and August 2019. Not all stocks covered the entire range. And yes, that includes stocks that no longer trade (I know you've been wondering about that).